Building an owned Global Capability Center

How Schneider Electric moved a business line's India engineering work from a partner-run centre to a centre of its own, and what the decision, the build and the scale-up required of leadership.

Raghunandan Gopalan | Director, India GCC, Schneider Electric, 2017 to 2024

Many organisations run offshore engineering through a partner, and for years the model serves them well. The strategic question arrives later: at what point does the cost of not owning the capability, in control, visibility, optionality and talent, exceed the cost of building it? This briefing sets out how that question was answered for one business line at Schneider Electric, the decisions that shaped the answer, and the results over four years of operation.

Mandate	Move a business line's India work from a partner-run offshore development centre to a Global Capability Center of Schneider's own, then scale it.
Milestones	Business case approved in 2019. First centre live in December 2020. A site in Germany consolidated into Hyderabad in 2021. Second centre opened in 2023.
Transition	About 200 people and a hardware lab of about 40,000 items, moved in two waves during COVID with zero disruption to live work.
Scale	From about 250 to about 600 professionals, employees and partner resources together, and from 3 to 5 product lines. Headcount doubled in about 2.5 years against a plan of 5% a year.
Financial outcome	Savings equivalent to about 10% of the annual operating budget, over and above those in the approved business case.
People	Attrition of about 8 to 10% a year while the centre grew 2.4 times.

1. The strategic question: when a partner model reaches its limits

The partner had worked with Schneider since 2009. Nothing in what follows is a failure of that partner. These are structural limits of a partner-run model once the business it serves has outgrown it, and they could not be fixed from inside the arrangement.

- **Control.** There was no Schneider leadership in charge on the ground, and little say in how day-to-day decisions were taken.
- **Visibility.** Global managers had a limited view of some activities and decisions inside the partner.

- **A growth ceiling.** The scope of work depended on the partner's own aspirations, which were not always aligned with the business roadmap.
- **Concentration risk.** The structure tied Schneider to a single partner, with no room to add others and spread the risk.
- **Talent and identity.** Schneider managers and employees sat inside the partner's premises, without an office or identity of their own, which made strong talent harder to attract.
- **Geopolitical exposure.** For a US-based business, outsourcing carried growing political sensitivity. Insourcing removed that variable before it could become a problem.

Ownership was meant to deliver the reverse of each: leadership on the ground, direct visibility for global managers, scope set by the business, the freedom to work with several partners, a distinct employer identity, and predictability. A long, comfortable partnership also tends to go unchallenged, and ownership restores that challenge.

2. The decisions that shaped the model

The idea began as a question raised at VP level in R&D: could the work move to a new office? I evaluated the options, built the business case and, once the decision was taken, was responsible for designing and delivering the centre end to end. Four structural calls were made before any move.

Where and how to set up

A Special Economic Zone (SEZ) was weighed against a non-SEZ location, on the benefits and trade-offs of each. The partner already operated from an SEZ and had been enjoying the tax benefits. Under the SEZ route those benefits would accrue to Schneider. This became the first SEZ entity in Schneider India.

The commercial structure

All partner resources were brought under the GCC, which moved the business from outsourcing to insourcing. Partner contracting moved from Schneider USA to Schneider India, with billing kept in US dollars, so the partner saw no change in how it was paid and the relationship held. The structure was designed to leave the partner whole.

The institutional backbone

A new legal entity was set up, with its financial backbone in SAP and its own support functions for finance, tax, procurement, facilities, HR and IT. The leads for procurement, finance and facilities were hired early.

Governance of the change

An external specialist was engaged for legal and compliance requirements and government approvals. The partner and chargeback agreements were redrawn to reflect operation from a GCC, and progress, financial outflow and benefits were tracked against the approved plan.

3. Securing the mandate

This was a first-of-its-kind set-up for the organisation, so the case had to answer real questions and apprehensions. It was presented to the global SVP and CFO of the business line, the Global Head of HR, the head of R&D, the India CEO and CFO, and regional finance, real estate, procurement and HR teams.

The case set out the financial benefits, the risks and the implications for existing service agreements, and rested on a five-year roadmap tied to the projected growth of the global business. It was approved in 2019. When the March 2020

lockdown paused the project for about three months, significant financial commitments were at stake, so the case was revalidated before work restarted. A mandate of this kind has to be earned more than once.

Approval at the top was not enough. Buy-in also had to be won from the partner's teams, whose people were relocating, and from local and global Schneider managers.

4. Executing the transition without disruption

The move came as the first phase of COVID was easing. The plan had to manage three kinds of risk at once, because a failure in any one would have undone the case.

- **Business risk.** No disruption to live projects. The plan was built on go/no-go readiness gates, defined fall-back options and a two-wave move.
- **Physical risk.** Relocating and re-commissioning a very large hardware lab without losing project time.
- **People risk.** Apprehension about the move, deepened by the pandemic, handled directly with teams and managers throughout.

The purpose-built site was delivered on schedule. The centre went live in December 2020 with zero disruption and no unexpected challenges.

5. Making the centre the better place to work from

A centre of this kind grows only if global teams choose to send it work. After go-live, the focus moved to earning that confidence.

- Hiring was made seamless for both employees and partner resources.
- Processes for moving projects, materials and people were defined with input from global teams.
- Dedicated support teams showed that work would run more efficiently from the GCC than from the partner.
- Global teams saw no break in how they worked, and gained better control and visibility over their projects than they had before.

> That confidence is what moved more work in. Projects were rated above 4.5 out of 5 by global teams at close, and more product lines moving to the centre was the clearest signal of trust.

6. Scale and outcomes

- **Growth beyond the case.** The business case assumed 5% growth a year. Headcount instead doubled in about 2.5 years, which led to the second centre in 2023. Product lines grew from 3 to 5, including the consolidation of the Germany site and its specialised lab hardware.
- **A wider charter.** By 2024 the centre worked on new projects and new technologies and contributed to global product roadmaps, with the flexibility to build additional labs and expertise. None of this had been possible under the partner model.
- **Financial.** Savings equivalent to about 10% of the annual operating budget, beyond those in the business case, came from SEZ tax benefits and from partner billing rates that moderated once the resources were insourced. The figures were reported by an external agency and validated by Schneider's finance and tax teams.

- **Talent.** Attrition stayed at about 8 to 10% a year through the growth, supported by structured talent reviews with the global R&D head, a leadership pipeline and a workplace designed around wellness from the start.
- **Digital enablement.** A hardware inventory and traceability platform cut spending on new hardware by about 20%. Approval and vendor workflows were digitised with auditable records.
- **Governance and resilience.** As authorised signatory, I represented the entity with government agencies, auditors and clients. The centre held audit readiness across internal, client, ISO, financial, statutory and data-privacy audits, with a continuity plan proven in the 2021 lockdown.

The centre was led through influence. HR, finance, IT and procurement ran through their own reporting lines, with dotted-line accountability to the role for the centre's outcomes. Results came from shared governance and a weekly rhythm of project reviews.

What leadership teams can take from this

- **Frame it as an ownership question.** The case rested on control, visibility, optionality and talent. The savings followed from getting those right.
- **Protect delivery first.** The economics hold only if the transition leaves live work undisturbed.
- **Leave the partner whole.** A clean, respectful structure keeps goodwill, and keeps the option of working with several partners.
- **Treat identity as strategy.** A distinct workplace and employer brand is part of the case for attracting talent.
- **Design for the upside.** The plan was deliberately conservative for a first-of-its-kind move. With hindsight, a larger facility from day one would have avoided an expansion phase and two sites that are not physically integrated.

© Raghunandan Gopalan. The views and approaches described here are my own. To discuss a GCC decision, contact me on LinkedIn or visit raghu-gopalan.github.io.